

Testahil — Riyadh Cables Group Company (Tadawul: 4142)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the Riyadh Cables valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure derivable from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium; the discount factors compound from the cost-of-debt glide; the DCF waterfall, the terminal block, the statement roll-forwards, all four lenses and every ratio chain off the same cells.

THREE CLASSES OF CELL ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclosed history — the primary record (FY2023-25 income statement and balance sheet, the FY2025 cost-stack base the ground-up build starts from), not a calculation. Second, there is NO flattened unit-build paste: the cable cost stack is built live on the Segments sheet from the disclosed FY2025 materials and conversion figures and the driver paths. Third, whole-model engine outputs, where each figure is a complete re-run of the valuation and so cannot be one formula: the Monte Carlo price map, the sensitivity grids, the DCF scenario bear/bull bounds, the two pasted framings of the contested gross-margin judgement, and the expert-panel median. Everything else — every lens base value, the relative/normalised/book bear and bull bounds, and the anchor roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs.

How revenue is built. Not as one growth rate. A cable maker is a metal converter: materials (copper and aluminium) are 94.9% of cost of revenue. The build prices a tonnage index as metal content — on its own commodity path — plus a conversion spread whose cost escalates on domestic inflation; gross margin is the OUTPUT of that stack, not an input. The central judgement is the margin the business sustains once the FY2024-25 metal tailwind has passed, anchored on the most recent reviewed actual (H1-2026, 15.26%) rather than the higher FY2025 full-year print (16.24%), and computed both ways.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs

shown as ranges.

Sourcing. FY2022-FY2025 come from the company's own audited consolidated financial statements (KPMG); the FY2026 near-term anchor is the Tadawul-filed reviewed H1-2026 interim. Every input is listed with source and date in the companion bibliography document. No aggregator or broker figure is a build source.

Currency. SAR million unless stated. Spot SAR 104.80 (2026-08-18 close). Sheets: [READ FIRST](#) · [Summary](#) · [Fundamental Valuation](#) · [Assumptions](#) · [SOTP Bridge](#) · [Segments](#) · [Relative & Normalized](#) · [DCF](#) · [Income Statement](#) · [Balance Sheet](#) · [Cash Flow](#) · [Summary Financials](#) · [Monte Carlo](#) · [Sensitivity](#) · [Per-Share & Ratios](#) · [Peer & Sector](#).

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Lens	Bear	Base	Bull	Role	vs price
Discounted cash flow (the answer)	81.99	130.42	202.37	THE CENTRAL — the class primar	24.5%
Relative multiples	69.17	86.36	99.25	cross-check	(17.6%)
Normalised earnings power	77.62	101.58	125.53	REMOVED — not a lens this class]	(3.1%)
Book value and sustainable return	64.28	94.68	106.80	a disclosed floor, never weighted	(9.7%)
THE CENTRAL — the cash-flow lens, not an average		130.42			24.5%
Terminal value as % of DCF EV		81.4%			
Expert panel median		125.98			
Market price (anchor)		104.80			
Market capitalisation (SAR mn)		15,690			

Fundamental valuation — four lenses, one field

Every base value links live to its source sheet

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NOT AVERAGED — the retired 45/20/20/15 blend, published unused		110.48		retired 04-Sep-2026	5.4%
Span across the lenses (min/max) — a spread between MET	64.28		202.37		
Expert panel median (whole-model — pasted)		125.98			
Market price (anchor)		104.80			
Central contested judgement — sustained gross margin, both ways					
H1-2026 anchor (15.26%) — DCF value		130.42			
FY2025-peak framing (16.0%) — DCF value (pasted re-run)		142.46			
Further-compression framing (14.5%) — DCF value (pasted re-run)		118.28			

Assumptions — every blue cell is a driver

Change one and the model reprices

Anchors & market

Spot price (SAR)	104.80
Shares outstanding (mn)	149.7
Net financial debt at FY2025 (SAR mn, disclosed)	385

Cost of capital — explicit window

Risk-free rate (10-year SAR sukuk)	5.50%
Sovereign default spread (netted out)	0.48%
Equity risk premium (rating basis)	4.94%
Beta (own-stock vs TASI)	1.129
Cost of debt, marginal pre-tax	5.90%
Effective zakat and income tax rate	9.50%

Cost of capital — terminal

Terminal risk-free rate	5.02%
Terminal equity risk premium	4.70%
Terminal beta	1.000
Terminal cost of debt	5.50%
Terminal net-debt weight	5.00%
Terminal inflation (house Saudi path)	2.00%
Terminal real growth	1.96%
Terminal growth, nominal (derived)	4.00%
Weighted asset life, years (derived from the notes)	35.8

Forecast drivers — Cables & wires leg (metal converter)

Cable volume index growth	10.00%	7.50%	6.50%	5.50%	5.00%
Metal content price growth	-1.00%	0.00%	1.00%	1.00%	1.00%
Conversion cost inflation	3.00%	3.00%	3.00%	3.00%	3.00%
Sustained gross margin (H1-2026 anchor)	15.26%				
Gross-margin glide (added to anchor)	0.000	0.001	0.001	0.002	0.002

Forecast drivers — HV turnkey & Other legs

HV turnkey revenue growth	10.00%	10.00%	9.00%	8.00%	8.00%
HV turnkey segment margin	8.38%				
Other segment revenue growth	8.00%	8.00%	7.00%	6.00%	6.00%
Other segment margin	57.87%				

Forecast drivers — group

Operating expenses / revenue	4.30%	4.30%	4.25%	4.20%	4.20%
Depreciation and amortisation / revenue	0.85%				
Capital expenditure / revenue	1.90%	1.80%	1.70%	1.60%	1.60%
Net working capital / revenue	28.00%				
Cost-of-debt path	5.90%	5.80%	5.70%	5.60%	5.50%
Forecast dividend payout ratio	55.00%				
Yield on surplus cash	4.00%				
NCI share of forecast profit	0.41%				

Lens inputs

Justified EV/EBITDA	9.50x
Justified price/earnings	13.00x
Sustainable return on equity	28.00%

Anchor roll

Days to the anchor	230
FY2025 dividend per share paid in window	2.25
FY2025 disclosed base (audited)	
FY2025 cables metal content (SAR mn)	8,487
FY2025 cables conversion cost (SAR mn)	230
FY2025 HV turnkey revenue (SAR mn)	231
FY2025 Other segment revenue (SAR mn)	29
FY2025 net working capital (SAR mn)	2,933
FY2025 PP&E (SAR mn)	1,492
FY2025 gross borrowings incl. leases (SAR mn)	621
FY2025 equity attributable (SAR mn)	3,246
FY2025 associates carrying value (SAR mn)	32
FY2025 non-operating assets (SAR mn)	20
FY2025 NCI carrying value (SAR mn)	63

Enterprise value to equity bridge

All rows link to the DCF sheet; terminal-value share shown to the reader

Enterprise value	19,038
of which terminal value	15,490
terminal value as % of EV	81.4%
Less: net financial debt	(385)
Add: associates + non-operating assets	52
Less: non-controlling interests	(63)
Equity attributable (31-Dec-2025)	18,642
Value per share at anchor (SAR)	130.42

Segments — three legs, built to the group

Each disclosed Note 40 segment on its own driver; the cable leg is the metal converter; group gross margin is the blended OUTPUT

SAR mn / index	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cables & wires — the metal converter						
Cable volume index (FY2025=100)	100.0	110.0	118.3	125.9	132.9	139.5
Metal content per unit	84.87	84.02	84.02	84.86	85.71	86.57
Conversion cost per unit	2.30	2.37	2.44	2.51	2.59	2.66
Target gross margin (anchor + glide)		15.26%	15.36%	15.36%	15.41%	15.41%
Gross profit per unit (conversion spread)	16.97	15.56	15.69	15.86	16.09	16.26
Materials (metal leg)	8,487	9,242	9,935	10,687	11,388	12,077
Conversion cost	230	260	288	316	344	372
Gross profit = volume x spread	1,697	1,711	1,855	1,997	2,137	2,268
Cables revenue = materials + conversion + gross profit	10,414	11,214	12,079	13,000	13,868	14,716
Cables gross margin (OUTPUT)	16.30%	15.26%	15.36%	15.36%	15.41%	15.41%
HV turnkey projects — own growth, disclosed margin						
HV revenue (own growth path)	231	254	279	304	329	355
HV segment margin	8.38%	8.38%	8.38%	8.38%	8.38%	8.38%
HV gross profit = revenue x margin	19	21	23	26	28	30
Other (telephone cables & services) — own growth, disclosed margin						
Other revenue (own growth path)	29	31	33	36	38	40
Other segment margin	57.87%	57.87%	57.87%	57.87%	57.87%	57.87%
Other gross profit = revenue x margin	17	18	19	21	22	23
Group — the sum of the three legs						
Revenue (group)	10,674	11,499	12,392	13,340	14,235	15,111
Gross profit (group)	1,733	1,750	1,898	2,043	2,187	2,321
Cost of revenue (group)	8,940	9,748	10,494	11,297	12,048	12,790
Gross margin (OUTPUT = group gross profit / group revenue)	16.24%	15.22%	15.32%	15.31%	15.36%	15.36%
Operating expenses		494	533	567	598	635
Depreciation & amortisation		98	105	113	121	128
EBIT		1,256	1,365	1,476	1,589	1,686
EBITDA		1,354	1,471	1,589	1,710	1,814
EBITDA margin		11.77%	11.87%	11.91%	12.01%	12.01%

Relative, normalised-earnings & book lenses

Each base value is a live formula; bear/bull vary the multiple

Relative — EV/EBITDA on FY2027E		
FY2027E EBITDA	1,471	
Justified EV/EBITDA	9.50x	
PV of interim FY2026-27E FCFE	1,373	
Relative lens — implied value (base)	86.36	
Bear (7.5x) / Bull (11.0x)	69.17	99.25
Normalised earnings power		
Mid-cycle EBITDA margin (FY2028E)	11.91%	
FY2026E revenue	11,499	
FY2026E net interest	27	
Normalised EPS	7.50	
Normalised lens — implied value (base)	101.58	
Bear (10x) / Bull (16x)	77.62	125.53
Book value & sustainable return		
Book value per share	21.68	
Justified price / book	4.20x	
Book lens — implied value (base)	94.68	
Bear / Bull	64.28	106.80

Discounted cash flow

Cost of capital built from drivers; glide from the cost-of-debt path; terminal ROIC-consistent

Cost of capital

Normalised risk-free rate r_f^*	5.02%
Cost of equity K_e	10.60%
Cost of debt after tax	5.34%
Market capitalisation	15,690
Net-debt weight	2.40%
WACC — explicit window	10.47%
Terminal cost of equity	9.72%
Terminal cost of debt after tax	4.98%
WACC — terminal	9.48%

Discount-rate glide & waterfall

SAR mn	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Glide fraction (from Kd path)	0.0000	0.2500	0.5000	0.7500	1.0000
Forward WACC	10.47%	10.22%	9.98%	9.73%	9.48%
Discount factor	0.9052	0.8212	0.7467	0.6805	0.6216
EBIT	1,256	1,365	1,476	1,589	1,686
NOPAT = EBIT x (1 - tax)	1,137	1,236	1,336	1,438	1,526
+ Depreciation & amortisation	98	105	113	121	128
Revenue (memo)	11,499	12,392	13,340	14,235	15,111
- Capital expenditure	218	223	227	228	242
Net working capital	3,220	3,470	3,735	3,986	4,231
- Change in working capital	286	250	266	251	245
Free cash flow to firm	730	868	957	1,080	1,167
PV of FCFE	660	713	714	735	726

Invested capital & terminal

PP&E roll-forward	1,613	1,730	1,844	1,950	2,064
Invested capital = NWC + PP&E	4,832	5,200	5,579	5,936	6,295
ROIC = NOPAT / invested capital	23.52%	23.76%	23.94%	24.22%	24.24%
PV of explicit FCFE (5 years)	3,548				
Terminal ROIC (reported, not used to build the terminal)	25.21%				
Terminal NOPAT (next year)	1,587				
Plus book depreciation and amortisation inside that profit	134				
Less capital maintenance at current cost	(190)				
Less growth capital, for REAL growth only	(128)				
Less inflation on working capital	(88)				
Terminal free cash flow	1,314				
Terminal value	24,919				

PV of terminal value	15,490
Enterprise value	19,038
Terminal value as % of EV	81.4%

Enterprise value to equity

Less: net financial debt	(385)
Add: associates + non-operating assets	52
Less: non-controlling interests	(63)
Equity attributable (31-Dec-2025)	18,642
Value per share (31-Dec-2025)	124.52
Anchor accretion factor	1.0655
Value per share at anchor (18-Aug-2026)	130.42
vs spot	24.5%

DCF scenarios (whole-model re-runs — pasted)

Bear	81.99
Base (= value per share at anchor)	130.42
Bull	202.37

Income statement — 3y audited + 5y forecast

SAR mn

SAR mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	7,825	9,007	10,674	11,499	12,392	13,340	14,235	15,111
Gross profit	973	1,287	1,733	1,750	1,898	2,043	2,187	2,321
Gross margin	12.43%	14.28%	16.24%	15.22%	15.32%	15.31%	15.36%	15.36%
Operating expenses	325	318	467	494	533	567	598	635
EBITDA	714	1,037	1,352	1,354	1,471	1,589	1,710	1,814
Depreciation & amortisation	66	69	85	98	105	113	121	128
Operating profit (EBIT)	648	968	1,267	1,256	1,365	1,476	1,589	1,686
Net finance cost	(89)	(88)	(74)	(27)	(23)	(15)	(5)	7
Profit before zakat	559	881	1,192	1,229	1,342	1,461	1,583	1,693
Zakat & income tax	(39)	(64)	(108)	(117)	(128)	(139)	(150)	(161)
Profit for the year	518	817	1,085	1,112	1,215	1,322	1,433	1,532
Attributable profit			1,080	1,107	1,210	1,317	1,427	1,526

Balance sheet — audited history + forecast roll-forward

SAR mn; FY2023-25 audited, FY2026E-30E rolled forward from the cash flow

SAR mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Property, plant & equipment	1,207	1,336	1,492	1,613	1,730	1,844	1,950	2,064
Inventory	1,909	2,126	2,411					
Trade & other receivables	1,419	2,112	2,713					
Cash & equivalents	150	91	236					
Total assets	4,831	5,812	7,282					
Gross borrowings incl. leases	731	440	621	621	621	621	621	621
Trade & other payables	1,487	2,041	2,190					
Net working capital	1,841	2,197	2,933	3,220	3,470	3,735	3,986	4,231
Net financial debt	581	350	385	289	108	(111)	(402)	(736)
Equity attributable	2,247	2,624	3,246	3,745	4,289	4,882	5,524	6,210
Forecast roll-forward (feeds the income statement & lenses)								
Net debt, start of year	385	289	108	(111)	(402)			
Surplus cash	236	332	513	732	1,023			
Net interest	27	23	15	5	(7)			
EBIT (from DCF)	1,256	1,365	1,476	1,589	1,686			
Profit before zakat	1,229	1,342	1,461	1,583	1,693			
Attributable profit	1,107	1,210	1,317	1,427	1,526			
Dividend	609	665	724	785	839			
Net debt, end of year	289	108	(111)	(402)	(736)			
Equity attributable	3,745	4,289	4,882	5,524	6,210			

Cash flow — free cash flow to the firm

SAR mn; the DCF waterfall as a statement

SAR mn	FY26E	FY27E	FY28E	FY29E	FY30E
NOPAT	1,137	1,236	1,336	1,438	1,526
+ Depreciation & amortisation	98	105	113	121	128
- Capital expenditure	(218)	(223)	(227)	(228)	(242)
- Change in working capital	(286)	(250)	(266)	(251)	(245)
Free cash flow to firm	730	868	957	1,080	1,167
Discount factor	0.9052	0.8212	0.7467	0.6805	0.6216
PV of FCFF	660	713	714	735	726

Summary financials

SAR mn; forecast links to the model

SAR mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	11,499	12,392	13,340	14,235	15,111
EBITDA	1,354	1,471	1,589	1,710	1,814
NOPAT	1,137	1,236	1,336	1,438	1,526
FCFF	730	868	957	1,080	1,167
Invested capital	4,832	5,200	5,579	5,936	6,295
ROIC	23.52%	23.76%	23.94%	24.22%	24.24%

Monte Carlo — calibrated forward price cone

Engine output (50,000 paths, seed 42); pasted whole-model re-runs, not driver formulas

Percentile	1-month	3-month
P5	87.21	76.55
P25	97.61	92.87
P50	104.79	105.06
P75	112.62	118.71
P95	126.18	144.06
Spot	104.80	104.80
P(above spot)	50.0%	50.5%
Annualised vol	36.1%	36.7%

3-month calibration: PARITY vs the random walk; coverage 0.70/0.80/0.90; PIT mean 0.49.

Sensitivity — whole-model re-runs (pasted)

Each cell is a complete revaluation and does NOT redraw when a driver changes

DCF value per share: terminal WACC (rows) x terminal growth (cols)

	g=2%	g=3%	g=4%	g=5%	g=6%
WACC_t=7.48%	142.53	165.89	202.36	267.77	n.m.
WACC_t=8.48%	121.15	136.46	158.37	192.57	253.88
WACC_t=9.48%	105.48	116.10	130.42	150.91	182.85
WACC_t=10.48%	93.50	101.19	111.09	124.43	143.50
WACC_t=11.48%	84.05	89.79	96.93	106.12	118.48

Beta sensitivity (DCF value/share)

0.7	136.74
0.9	133.75
1.129	130.42
1.3	128.01
1.5	125.26

Metal price x sensitivity (DCF value/share)

0.85	142.70
0.925	136.55
1.0	130.42
1.075	124.32
1.15	118.23

Sustained gross margin sensitivity (DCF value/share)

0.14	110.41
0.145	118.28
0.1526	130.42
0.155	134.30
0.16	142.46

Volume x sensitivity (DCF value/share)

0.9	119.61
0.95	125.02
1.0	130.42
1.05	135.82
1.1	141.21

Net working capital / revenue sensitivity (DCF value/share)

0.24	136.22
0.26	133.32
0.28	130.42
0.3	127.53
0.32	124.63

Per-share & ratios

	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
EPS (SAR)	7.22	7.40	8.08	8.80	9.53	10.19
Book value per share (SAR)	21.68	25.01	28.65	32.61	36.89	41.48
ROE (%) — attributable profit / average equi	36.8%					
Net debt / EBITDA (x)	0.28x	0.21x	0.07x	-0.07x	-0.24x	-0.41x
Trailing EV/EBITDA (x)	11.89x					
Trailing P/E (x)	14.52x					

Peer & sector context

Cross-check multiples only — never a source for the subject historicals

Peer	Market	Fwd EV/EBITDA Note
Riyadh Cables (subject)	Tadawul	11.89x trailing; ~14.5x trailing P/E
Prysmian	Milan	8.50x developed-market major
Nexans	Paris	7.50x developed-market major
Polycab India	NSE	26.00x high-growth EM premium
KEI Industries	NSE	24.00x high-growth EM premium
Ducab (private)	UAE	regional peer, not listed

Justified EV/EBITDA applied in the relative lens: 9.5x (mid-range, single-country discount).